Or

$$\frac{\text{No. of unemployed persons}}{\text{No. of employed persons + No. of unemployed persons}}$$

These indicators are worked out based on the activity status of persons. The activity status is based on the question whether a person is engaged in economic activity or not.

Economic Activity

If an activity results in production of goods and services that adds value to national product (National Income) it is considered an economic activity, if not it is not considered as an economic activity. The economic activities further divided into two parts - **market activities and non-market activities**.

Market activities: Activities that involve remuneration in the form of wage or profit to those who perform it are market activities. Production of goods and services for market both by private and government are examples for market activities. The government services done without price and purely for the welfare of the people also constitute market activity.

Non-market activities: Activies not compensated and carried out for own consumption are non-market activities. The examples are

a. Production of primary commodities for own consumption like cereals and grains

b. Own account production of fixed assets like housing construction with own labour or construction of common facilities like road, wells for community free of charge.

Illegal activities like smuggling are considered as economic activity. But as a convention activities like prostitution and begging are not considered as economic activities. Any person working without